

C209

# Strategic Management

Armored Drill

8 concepts · 12 items · 4 transfer items

**What this is.** Every concept in this course's public description, re-asked with more disguise than a practice test uses. Each stem carries facts that do not decide it. Every wrong answer is a named trap.

**Source.** Scope from the course's public description in the WGU Institutional Catalog (September 2026); items written from the field's standard body of knowledge. No WGU assessment item, course material or proprietary content is used or reproduced. Not affiliated with or endorsed by Western Governors University.

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# How to run it

Paper first. Pencil. One pass, no notes, a timer if you want the pressure.

1. **Before you read the options**, fill the strip under the item: the target word (what is actually being asked), and the one fact in the stem that decides it.
2. **Principle before arithmetic**. Name the rule, then compute.
3. **Camouflage**. Most of every stem does not matter. Ask: which single fact decides this?
4. **Inverse pairs are the bait**. If two options are opposites, one of them is the trap built for you.
5. **Mark sure, unsure or guess** honestly. Sure-and-wrong is the most valuable miss on the page — it is a wrong mental model.
6. **Absolutes** (always, never, guarantee) are usually wrong. And recognizing an answer is not the same as owning it.
7. Items with a **heavy black bar** on the left are **transfer items**: the same principle, reversed or solved for a different variable.
8. Stop at the STOP page. Then grade, fill the triage grid, and tally the traps you fell for. The biggest tally is what you drill next.

The strip, filled in, looks like this:

| Target word | The one fact that decides | Answer | [ ] sure [ ] unsure [ ] guess |
|-------------|---------------------------|--------|-------------------------------|
| _____       | _____                     | _____  |                               |

# Items

1.

A family-owned craft brewery founded in 1998 is reviewing its position. Its brewmaster has won several national awards, its distribution is limited to two states, and the owner's daughter just finished an MBA. A new state law will allow direct-to-consumer shipping next year. Which item is an opportunity?

- A. Distribution limited to two states.
- B. The owner's daughter's new MBA.
- C. The award-winning brewmaster.
- D. The new law allowing direct-to-consumer shipping.

| Target word | The one fact that decides | Answer | [ ] sure [ ] unsure [ ] guess |
|-------------|---------------------------|--------|-------------------------------|
| _____       | _____                     | ___    |                               |

2. [TRANSFER — reversed stem / different variable]

In a SWOT analysis for a mid-sized airline, “a large rival announces a low-fare subsidiary on our main routes” belongs in which box?

- A. Opportunity.
- B. Threat.
- C. Weakness.
- D. Strength.

| Target word | The one fact that decides | Answer | [ ] sure [ ] unsure [ ] guess |
|-------------|---------------------------|--------|-------------------------------|
| _____       | _____                     | ___    |                               |

3.

An appliance maker based in Ohio sells only high-end commercial ovens to luxury restaurants, charging premium prices for custom features and on-site chef training. Its CEO has led the firm since 2010. Which generic strategy is it using?

- A. Focused differentiation.
- B. Broad differentiation.
- C. Focused cost leadership.
- D. Cost leadership.

| Target word | The one fact that decides | Answer | [ ] sure [ ] unsure [ ] guess |
|-------------|---------------------------|--------|-------------------------------|
| _____       | _____                     | ___    |                               |

4.

A national chain of movie theaters with 600 screens and a popular loyalty program is losing customers to streaming services that let people watch new films at home. Its concession prices rose 8% this year. Which of Porter's forces does streaming represent?

- A. Buyer power, because concession prices rose.
- B. Rivalry among existing competitors.
- C. Threat of substitutes.
- D. Threat of new entrants.

| Target word | The one fact that decides | Answer | [ ] sure [ ] unsure [ ] guess |
|-------------|---------------------------|--------|-------------------------------|
| _____       | _____                     | ___    |                               |

5.

A regional grocer was the first in its market to install self-checkout kiosks bought from a major vendor that sells the same kiosks to any retailer. The kiosks were installed over a holiday weekend and customers like them. Using VRIO, what kind of advantage do they provide?

- A. Sustained competitive advantage.
- B. Temporary competitive advantage.
- C. No advantage, because customers must learn a new process.
- D. Competitive disadvantage.

| Target word | The one fact that decides | Answer | [ ] sure [ ] unsure [ ] guess |
|-------------|---------------------------|--------|-------------------------------|
| _____       | _____                     | ___    |                               |

6. [TRANSFER — reversed stem / different variable]

Which resource is most likely to give a firm sustained competitive advantage?

- A. A new software license any competitor can purchase.
- B. A large cash reserve.
- C. Any resource that is valuable.
- D. A decades-old culture of customer service built into hiring, training, and rewards.

| Target word | The one fact that decides | Answer | [ ] sure [ ] unsure [ ] guess |
|-------------|---------------------------|--------|-------------------------------|
| _____       | _____                     | ___    |                               |

7.

A community health nonprofit with 14 clinics and a new logo is drafting its strategic plan. Which statement is its vision?

- A. "Our 14 clinics use our new logo on all signage."
- B. "We provide affordable primary care to uninsured residents of our county."
- C. "Open two new clinics by June 2027."
- D. "A county where every family can get care within 15 minutes of home."

| Target word | The one fact that decides | Answer | [ ] sure [ ] unsure [ ] guess |
|-------------|---------------------------|--------|-------------------------------|
| _____       | _____                     | ___    |                               |

8.

A logistics firm headquartered in Memphis is building a balanced scorecard. One proposed measure is "percentage of dispatchers certified on the new routing software." The firm posted record revenue last year. Which perspective does this measure belong to?

- A. Internal process.
- B. Learning and growth.
- C. Customer.
- D. Financial.

| Target word | The one fact that decides | Answer | [ ] sure [ ] unsure [ ] guess |
|-------------|---------------------------|--------|-------------------------------|
| _____       | _____                     | ___    |                               |

9.

A conglomerate's snack-food division holds 45% share of a market growing 1% per year and generates far more cash than it needs. The division is based in its oldest factory and has a popular mascot. In the BCG matrix, what is it?

- A. Cash cow.
- B. Star.
- C. Dog.
- D. Question mark.

| Target word | The one fact that decides | Answer | [ ] sure [ ] unsure [ ] guess |
|-------------|---------------------------|--------|-------------------------------|
| _____       | _____                     | ___    |                               |

**10.** [TRANSFER — reversed stem / different variable]

A business unit is labeled a “question mark” in the BCG matrix. What does that label tell you about it?

- A.** It has low market share in a high-growth market.
- B.** It has high market share in a high-growth market.
- C.** It has low market share in a low-growth market.
- D.** It should always be sold off immediately.

| Target word | The one fact that decides | Answer | [ ] sure [ ] unsure [ ] guess |
|-------------|---------------------------|--------|-------------------------------|
| _____       | _____                     | ___    |                               |

**11.**

A Texas-based coffee chain with 300 stores and a new CFO plans to open its existing store format, with the same menu, in Mexico. Same-store sales grew 6% last year. Which Ansoff strategy is this?

- A.** Market penetration, since same-store sales are growing.
- B.** Product development.
- C.** Market development.
- D.** Diversification.

| Target word | The one fact that decides | Answer | [ ] sure [ ] unsure [ ] guess |
|-------------|---------------------------|--------|-------------------------------|
| _____       | _____                     | ___    |                               |

**12.** [TRANSFER — reversed stem / different variable]

A company wants to grow using its existing products and existing customers only. Which action fits?

- A.** Entering a new country with current products.
- B.** Launching a new product line for current customers.
- C.** A loyalty program and promotions to increase purchases by current customers.
- D.** Buying an unrelated business in a new industry.

| Target word | The one fact that decides | Answer | [ ] sure [ ] unsure [ ] guess |
|-------------|---------------------------|--------|-------------------------------|
| _____       | _____                     | ___    |                               |

# STOP

Answers and dissection follow. Finish every item and every strip first.

# Key and dissection

Struck-through text is the camouflage: facts that do not decide the item.

## 1. Answer D Concept 1

A family-owned craft brewery ~~founded in 1998~~ is reviewing its position. Its brewmaster has won several national awards, its distribution is limited to two states, and ~~the owner's daughter just finished an MBA~~. A new state law will allow direct-to-consumer shipping next year. Which item is an opportunity?

**Target word:** classify one item **Decides:** Opportunities are favorable external conditions.

|   |                   |                                                            |
|---|-------------------|------------------------------------------------------------|
| A | Adjacent category | An internal limitation — a weakness.                       |
| B | Camouflage        | An internal detail, not an external opportunity.           |
| C | Adjacent category | An internal capability — a strength.                       |
| D | <b>Correct</b>    | An external change the firm can exploit is an opportunity. |

## 2. Answer B Concept 1 • transfer

In a SWOT analysis for a mid-sized airline, “a large rival announces a low-fare subsidiary on our main routes” belongs in which box?

**Target word:** classify an external negative **Decides:** External and unfavorable.

|   |                    |                                                                   |
|---|--------------------|-------------------------------------------------------------------|
| A | Confusion set      | Opportunities are favorable external conditions.                  |
| B | <b>Correct</b>     | A competitor's action outside the firm that hurts it is a threat. |
| C | Inverted operation | Weaknesses are internal; the rival's move is external.            |
| D | Confusion set      | Strengths are internal and favorable.                             |

## 3. Answer A Concept 2

An appliance maker ~~based in Ohio~~ sells only high-end commercial ovens to luxury restaurants, charging premium prices for custom features and on-site chef training. ~~Its CEO has led the firm since 2010~~. Which generic strategy is it using?

**Target word:** name the strategy **Decides:** Narrow target plus uniqueness-based premium.

|   |                    |                                                         |
|---|--------------------|---------------------------------------------------------|
| A | <b>Correct</b>     | A narrow segment served with unique, premium offerings. |
| B | Dropped element    | Drops the narrow scope — only luxury restaurants.       |
| C | Confusion set      | Right scope, wrong source of advantage.                 |
| D | Inverted operation | It competes on premium features, not lowest cost.       |

## 4. Answer C Concept 3

A national chain of movie theaters ~~with 600 screens and a popular loyalty program~~ is losing customers to streaming services that let people watch new films at home. ~~Its concession prices rose 8% this year~~. Which of Porter's forces does streaming represent?

**Target word:** name the force **Decides:** A different product meeting the same need.

|   |                   |                                                                              |
|---|-------------------|------------------------------------------------------------------------------|
| A | Camouflage        | Answers the price detail; streaming is not about buyers' bargaining.         |
| B | Confusion set     | Rivals are other theater chains offering the same product.                   |
| C | <b>Correct</b>    | Streaming is a different product that satisfies the same entertainment need. |
| D | Adjacent category | New entrants would be new theater companies entering the industry.           |

## 5. Answer B Concept 4

A regional grocer was the first in its market to install self-checkout kiosks bought from a major vendor that sells the same kiosks to any retailer. ~~The kiosks were installed over a holiday weekend~~ and customers like them. Using VRIO, what kind of advantage do they provide?

**Target word:** VRIO outcome **Decides:** Valuable and rare for now, but easy to buy and copy.

|          |                    |                                                                 |
|----------|--------------------|-----------------------------------------------------------------|
| A        | Dropped element    | Drops the inimitability test; the kiosks are easy to acquire.   |
| <b>B</b> | <b>Correct</b>     | Rivals can buy the same kiosks, so the edge fades once they do. |
| C        | Adjacent category  | Customers like them; that makes them valuable.                  |
| D        | Inverted operation | The kiosks are valuable, so they do not put the grocer behind.  |

## 6. Answer D Concept 4 • transfer

Which resource is most likely to give a firm sustained competitive advantage?

**Target word:** pick the resource that passes all VRIO tests **Decides:** Costly to imitate and organized to exploit.

|          |                   |                                                                   |
|----------|-------------------|-------------------------------------------------------------------|
| A        | Adjacent category | Valuable but easy to imitate.                                     |
| B        | Confusion set     | Cash is valuable but not rare or hard to match.                   |
| C        | Absolute language | Value alone gives only competitive parity.                        |
| <b>D</b> | <b>Correct</b>    | Culture is valuable, rare, hard to copy, and embedded in systems. |

## 7. Answer D Concept 5

A community health nonprofit ~~with 14 clinics and a new logo~~ is drafting its strategic plan. Which statement is its vision?

**Target word:** identify the vision **Decides:** Vision is a future aspiration.

|          |                   |                                                          |
|----------|-------------------|----------------------------------------------------------|
| A        | Camouflage        | Repeats stem details; not a strategic statement.         |
| B        | Confusion set     | That is the mission: what it does now and for whom.      |
| C        | Adjacent category | A measurable objective.                                  |
| <b>D</b> | <b>Correct</b>    | Describes the future the organization aspires to create. |

## 8. Answer B Concept 6

A logistics firm ~~headquartered in Memphis~~ is building a balanced scorecard. One proposed measure is “percentage of dispatchers certified on the new routing software.” ~~The firm posted record revenue last year.~~ Which perspective does this measure belong to?

**Target word:** classify the measure **Decides:** It measures employee capability.

|          |                   |                                                                                  |
|----------|-------------------|----------------------------------------------------------------------------------|
| A        | Adjacent category | Process measures track how operations perform, such as on-time dispatch rate.    |
| <b>B</b> | <b>Correct</b>    | Employee skills and capabilities are the learning and growth perspective.        |
| C        | Confusion set     | Customer measures track satisfaction, retention, or share.                       |
| D        | Camouflage        | Reacts to the revenue detail; training certification is not a financial measure. |

### 9. Answer A Concept 7

A conglomerate's snack-food division holds 45% share of a market growing 1% per year and generates far more cash than it needs. ~~The division is based in its oldest factory and has a popular mascot.~~ In the BCG matrix, what is it?

**Target word:** classify the unit **Decides:** High share, low growth.

|   |                    |                                                              |
|---|--------------------|--------------------------------------------------------------|
| A | <b>Correct</b>     | High share in a slow-growth market produces surplus cash.    |
| B | Dropped element    | Drops the low-growth fact; stars are in high-growth markets. |
| C | Confusion set      | Dogs have low share; this unit leads its market.             |
| D | Inverted operation | Reverses both axes: low share in a high-growth market.       |

### 10. Answer A Concept 7 · transfer

A business unit is labeled a “question mark” in the BCG matrix. What does that label tell you about it?

**Target word:** reverse: attributes from label **Decides:** Question mark = low share, high growth.

|   |                   |                                                    |
|---|-------------------|----------------------------------------------------|
| A | <b>Correct</b>    | That combination defines a question mark.          |
| B | Confusion set     | That is a star.                                    |
| C | Confusion set     | That is a dog.                                     |
| D | Absolute language | Question marks may be invested in to become stars. |

### 11. Answer C Concept 8

A Texas-based coffee chain ~~with 300 stores and a new CFO~~ plans to open its existing store format, with the same menu, in Mexico. ~~Same store sales grew 6% last year.~~ Which Ansoff strategy is this?

**Target word:** classify growth move **Decides:** Existing product, new market.

|   |                    |                                                        |
|---|--------------------|--------------------------------------------------------|
| A | Camouflage         | Reacts to sales growth; the move is into a new market. |
| B | Inverted operation | Reverses the axes: new product, existing market.       |
| C | <b>Correct</b>     | Taking existing products into a new geographic market. |
| D | Adjacent category  | Requires both a new product and a new market.          |

### 12. Answer C Concept 8 · transfer

A company wants to grow using its existing products and existing customers only. Which action fits?

**Target word:** action for market penetration **Decides:** Same products, same market.

|   |                    |                                                                              |
|---|--------------------|------------------------------------------------------------------------------|
| A | Adjacent category  | That is market development.                                                  |
| B | Adjacent category  | That is product development.                                                 |
| C | <b>Correct</b>     | Selling more of existing products in existing markets is market penetration. |
| D | Inverted operation | Diversification changes both product and market — the opposite corner.       |

## Triage grid

Write each item number in the box it belongs to.

|                       | Right                                                 | Wrong                                                                                 |
|-----------------------|-------------------------------------------------------|---------------------------------------------------------------------------------------|
| <b>Sure</b>           | Owled.                                                | <b>Concept inversion — top priority.</b> A wrong mental model; it survives rewording. |
| <b>Unsure / guess</b> | Recognition, not mastery. Re-drill with the transfer. | Not learned yet.                                                                      |

## Trap tally

For every miss, find the letter you chose in the key and tally its trap. The biggest number is the pattern to drill.

| Trap               | What it does                                                 | In this drill | Your misses |
|--------------------|--------------------------------------------------------------|---------------|-------------|
| Dropped element    | Leaves out a required term or step.                          | 3             |             |
| Wrong stem number  | A figure copied from the prompt that is not the answer.      | 0             |             |
| Adjacent category  | The right idea in the wrong bucket.                          | 10            |             |
| Inverted operation | Direction flipped: add/subtract, cause/effect, higher/lower. | 6             |             |
| Absolute language  | Always, never, guarantee — where judgment applies.           | 2             |             |
| Confusion set      | Every option is real; the test is exact role-matching.       | 10            |             |
| Camouflage         | Answers a stem fact that was never the question.             | 5             |             |

# Anchor rows — the concept list

One row per concept: the rule to lock in, the trap that catches people, and the tell in the question that signals it.

| # | Concept                                | Rule                                                                                                                                                                                                               | Trap                                                                                       | Tell                                                                                                          |
|---|----------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------|
| 1 | <b>SWOT: internal vs. external</b>     | Strengths and weaknesses are internal and within the firm's control; opportunities and threats are external conditions in the environment.                                                                         | Listing a competitor's move as a weakness or the firm's own skill as an opportunity.       | Whether the factor originates inside the firm or in the market.                                               |
| 2 | <b>Porter's generic strategies</b>     | Firms compete through cost leadership (lowest cost), differentiation (unique value customers pay more for), or a focus on a narrow segment with either; trying to do both broadly risks being stuck in the middle. | Equating differentiation with simply being different, or focus with being small.           | Target scope (broad or narrow) and source of advantage (cost or uniqueness).                                  |
| 3 | <b>Five forces</b>                     | Industry profitability depends on rivalry, threat of new entrants, threat of substitutes, buyer power, and supplier power; each force is judged by its own drivers.                                                | Mixing substitutes (different product, same need) with rivals or new entrants.             | Whether the threat is a different product meeting the same need, a new firm, or a powerful buyer or supplier. |
| 4 | <b>VRIO and sustained advantage</b>    | A resource gives sustained competitive advantage only if it is valuable, rare, costly to imitate, and the firm is organized to exploit it; missing inimitability gives only temporary advantage.                   | Assuming any valuable, rare resource gives lasting advantage.                              | A resource competitors could copy or buy easily.                                                              |
| 5 | <b>Mission, vision, and objectives</b> | Mission states what the organization does and for whom now; vision states the future it aspires to; objectives are measurable targets that move it there.                                                          | Swapping mission and vision.                                                               | Present-tense purpose vs. future aspiration vs. a measurable target.                                          |
| 6 | <b>Balanced scorecard</b>              | Performance is tracked across financial, customer, internal process, and learning and growth perspectives, linking leading indicators to financial results.                                                        | Placing an employee training metric in internal process or a customer metric in financial. | What the measure is about: money, customers, operations, or people and capabilities.                          |
| 7 | <b>BCG growth-share matrix</b>         | Stars have high share in high-growth markets; cash cows have high share in low-growth markets; question marks have low share in high-growth markets; dogs have low share in low-growth markets.                    | Mixing up question marks and dogs, or treating cash cows as growth engines.                | Two facts: market growth rate and relative market share.                                                      |

| # | Concept                     | Rule                                                                                                                                                                                                                      | Trap                                                                       | Tell                                                  |
|---|-----------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------|-------------------------------------------------------|
| 8 | <b>Ansoff growth matrix</b> | Market penetration = existing products in existing markets; product development = new products in existing markets; market development = existing products in new markets; diversification = new products in new markets. | Calling a new-geography launch of an existing product product development. | Is the product new, the market new, both, or neither? |

**Course scope (public description):** This course focuses on models and practices of strategic management including developing and implementing both short- and long-term strategy and evaluating performance to achieve strategic goals and objectives.